

Indian Scenario

India, world's largest market for gold jewelers and a key driver of the global gold demand.

The domestic drivers of gold demand are largely independent of outside forces. Indian households hold the largest stock of gold in the world.

Two thirds of the Indian demand for gold comes from the rural parts of the country.

In 2012, gold's role as an inflation hedge bolstered its appeal in India. India imported around 850 metric tone (MT) of gold in 2012.

Factors Influencing the Market

Above ground supply of gold from central bank's sale, reclaimed scrap, and official gold loans.

Hedging interest of producers/miners.